

Allowance for Nonconsolidated Profits and Losses. It is now frequent procedure for industrial companies to indicate either in the income account or in a footnote thereto their equity in the profits or losses of nonconsolidated subsidiaries after allowance for dividends.

Examples: The 1938 report of American Tobacco Company showed by way of footnote that dividends received from nonconsolidated subsidiaries exceeded their earnings by \$427,000. Hercules Powder reported a similar figure of \$257,514 for that year, in footnote form, whereas prior to 1937 it had included its share of the undistributed earnings of such affiliates under the heading "Other Income." Railroad companies handle this matter differently. The Atchison, for example, now supplies full balance sheet and income account data of affiliates in an Appendix to its own report, which continues to reflect only the dividends received from these companies.

The analyst should adjust the reported earnings for the results of non-consolidated affiliates, if this has not already been done in the income account and if the amounts involved are significant. The criterion here is not the technical question of control but the *importance* of the holdings.

Examples: On the one hand it is not customary, nor does it seem worth while, to make such calculations with respect to the holdings of Union Pacific in Illinois Central and other railroads. These holdings, although substantial, do not bulk large enough to affect the Union Pacific common stock materially. On the other hand, the adjustment is clearly indicated in the case of the ownership of Chicago, Burlington, and Quincy stock by Northern Pacific and Great Northern, each holding less than a controlling interest (48.6%).

Year	Du Pont earnings per share	Adjustments to reflect Du Pont's interest in operating results of General Motors	Earnings per share of Du Pont as adjusted
1929	\$6.99	+\$2.07	\$9.06
1930	4.52	+ 0.04	4.56
1931	4.30	— 0.51	3.79
1932	1.81	— 1.35	0.46
1933	2.93	+ 0.43	3.36
1934	3.63	+ 0.44	4.07
1935	5.02	+ 1.30	6.32
1936	7.53	+ 0.77	8.30
1937	7.25	+ 0.57	7.82
1938	3.74	+ 0.61	4.35